

05 Oct 2026 03:11:11 ET | 10 pages

National Grid PLC (NG.L)

Trading ahead, boosted by one-offs

CITI'S TAKE

National Grid's FY27 trading update appears to be tracking ahead of plan, with management now expecting EPS growth to come in slightly above its 13-15% guidance range. The upgrade is driven by c.£130m of first-half upside in National Grid Ventures & Other, reflecting one-off fair value gains from NG Partners investments and stronger interconnector performance. The regulated UK and US businesses remain in line with expectations, while net debt is expected to be broadly consistent with full-year guidance including the Joule investment. The implied growth takes EPS to a little over 90p/share, which compared to Citi of 88p and consensus of 90p/share. While the upgrade headlines are helpful, the nature of the upgrade is perhaps less repeatable given they are gains related. We rate NG as Neutral.

Neutral

Price (02 Oct 26 16:30)	£11.47
Target price	£12.53
Expected share price return	9.2%
Expected dividend yield	4.3%
Expected total return	13.5%
Market Cap	£57,659M
	US\$76,354M

Jenny Ping^{AC}

+44-207-986-6974

jenny.ping@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

National Grid PLC

Valuation

Our target price of 1253p is based on our RAV-based SOTP. For the UK-regulated asset base, we value the assets at c40% premium to RAV, to reflect the financing benefit (vs. Ofgem assumptions), RAV growth and operational outperformance. For the US-regulated rate base, we use a US peer multiple of c.20x one-year forward P/E on achieved earnings.

Risks

We identify the following risks to the achievement of our target price.

Inflationary risks – The UK regulatory construct currently allows full pass through of inflation while the US only allows partial pass through. Given this, continued high inflation could support results in the UK, but prove to be more challenged for the US. This is on the assumption UK regulator does not change such passthrough allowance.

Interest rate risk – A meaningful increase or fall in rates could lead to both financial outperformance and therefore a lower/higher justified premium to RAB.

Operational risks – A meaningful over/under operating performance could lead to a higher/lower justified premium to RAB.

If the impact on the company from any of these factors proves to be greater than we anticipate, the stock will likely have difficulty achieving our target price. Likewise, if any of these factors proves to have less of an effect than we anticipate, the stock could outperform our target.

Affordability – Political intervention as a result of affordability could be a potential downside risk.

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Appendix A-1

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National Grid PLC (NG.L)

Ratings and Target Price History Fundamental Research

Analyst: Jenny Ping



	Date	Rating	Target Price	Closing Price
1	03-Jun-24 01:00:00	*1	*9.85	8.86
2	03-Oct-24 00:00:00	*2	*10.50	10.13
3	20-Jan-25 00:41:45	*1	*10.63	9.66

	Date	Rating	Target Price	Closing Price
4	06-May-25 00:00:00	*2	*10.50	10.72
5	26-May-25 04:21:55	2	*10.73	10.91
6	23-Jan-26 17:13:50	2	*11.49	11.92

	Date	Rating	Target Price	Closing Price
7	27-Apr-26 07:15:11	2	*12.53	12.94

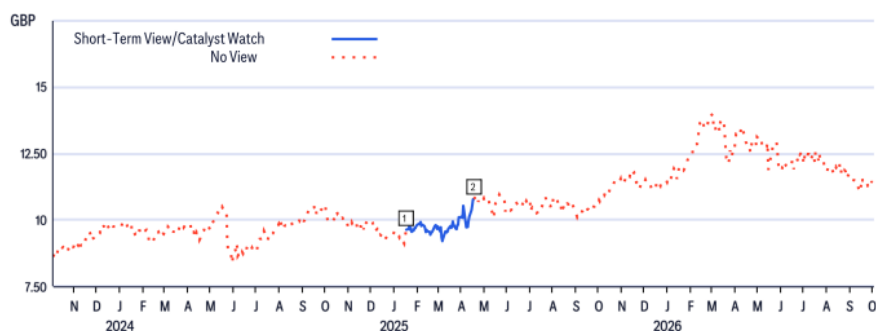
*Indicates Change

Rating/target price changes above reflect Eastern Time

National Grid PLC (NG.L)

Short-Term View/Catalyst Watch Research

Analyst: Jenny Ping



	Date	Action	Expected Direction	Duration	Closing Price
1	19-Jan-25 19:41:45	Add STV	Upside	90 Days	9.63

	Date	Action	Expected Direction	Duration	Closing Price
2	18-Apr-25 14:09:38	Remove STV	Upside	90 Days	10.79

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Oct 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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